

All these drivers, plus, to a smaller degree, many others, are inter-related in a complex system. Each driver's individual development, its impact on the other drivers and the resulting affect on the industry value chain are unpredictable. However, based on historical analysis and the relative powers of members of the current industry, it is possible to describe four different scenarios for the future of this mobile entertainment.

Four Scenarios for the Mobile Entertainment Industry

During the next five years, the mobile entertainment industry is predicted to undergo significant growth. The Informa Media Group has predicted that the mobile games segment of the industry will grow from only tens of millions of dollars in revenue in 2001 to more than \$3.6 billion in 2006. Ovum Research expects mobile games revenue to reach \$4.4 billion by 2006. Similar predictions are being made for mobile music, photography and content. The way in which this industry is organized is of crucial importance to the companies within it, the companies that serve it and the broader business community. Based on an analysis by the Mobile Entertainment Forum and Booz Allen Hamilton, the four scenarios are that are most likely to describe the future of mobile entertainment are: Mobile Operators Dominate, Mobile Device Manufacturers Dominate, Content Producers Dominate, or Software Environment Dominates.

Each scenario below presents likely threats and opportunities in each scenario for the most affected members of the mobile entertainment value chain.

Mobile Operators Dominate

In this scenario, network operators control mobile entertainment. They leverage their existing customer relationships and extend their reach to include emerging networks like WLAN. As the gatekeepers to mobile entertainment consumers, operators extract a substantial percentage of all content revenues. Operators are likely to introduce flat-data traffic rates to spur usage. Mobile handsets are manufactured and branded according to operator specifications. Independent mobile portal providers are marginalized in favour of